QP Code :25900038

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025 -SECOND SEMESTER

MG2MDCCOM100 - FUNDAMENTALS OF ACCOUNTING

Answer Scheme

Duration: 1.5 Hrs Maximum Marks :50

Note – The Scheme of Valuation is only a broader guideline- Any relevant point or treatment other than one given in the scheme shall be given full credit- Evaluation of Application questions (Problems) shall focus more on the concept rather than form.

Part A Very Short Answer Questions. Answer any **10** questions. Each question carries **1** mark.

Question Number	Answer
1	Interpreting/ Interpretation
2	Cash/goods withdrawn by the proprietor from business for personal use.
3	Assets = Liabilities + Capital (Assets= Equities) *Consider derived equations also*
4	Record of transaction in the journal.
5	Debit all expenses and losses; credit all incomes and gains
6	Ledger
7	Special Journals/ Special Purpose Book
8	To ascertain the arithmetical accuracy of accounting
9	Debit side of the Trading Account
10	Journal entry made at the end of an accounting period to close nominal accounts (by transferring their balances to Trading and Profit & Loss account)
11	Sundry Creditors, Bills Payable, Short-term loans, bank overdraft, outstanding expenses etc. (Any 2 correct examples)
12	Indirect Expenses

Part B- Short Answer Questions. Answer any **4** questions Each question carries **5** marks

13. Following is the procedure of balancing an account:

i. Find out the total of debit side and total of credit side and identify the higher total.
ii. Ascertain the difference between total of debit side and total of credit side.
iii. If the debit total is more than credit total, put the difference on credit side as 'By balance c/d'; otherwise on debit side as To balance c/d.
iv. Close the account by writing total amount on both sides.
v. Put the debit balance on the debit side of the account and write 'To Balance b/d' otherwise on credit side and write 'By balance b/d'.

(If the process is explained using imaginary figures too, award full marks)

14. Financial statements are prepared to provide stakeholders with a clear picture of the financial performance and position of the organisation- to show the profitability (or loss) over a specific period, present the financial position at a specific point in time, to aid in decision-making for investments, lending, or other business purposes and comply with regulatory requirements and accounting standards.

(Consider any 4 relevant points)

15. Statement showing the effect of transactions on assets, labilities and capital

Transactions	**Assets = Liabilities + Capital** **Cash + Furniture + Stock = Creditors + Capital**	**Total of LHS and RHS**
John started business with cash ₹20,000	20,000 + 0 + 0 = 0 + 20,000	20000
Purchased furniture for cash ₹4,000 New Equation	(-4,000 + 4000 + 0 = 0 + 0) 16,000 + 4,000 + 0 = 0 + 20,000	20000
Purchased goods on credit from Rahul ₹3,000 New Equation	(0 + 0 + 3,000 = 3,000 + 0) 16,000 + 4,000 + 3,000 = 3,000 + 20,000	23000
Purchased goods for cash ₹4,000 New Equation	(-4,000 + 0 + 4,000 = 0 + 0) 12,000 + 4,000 + 7,000 = 3,000 + 20,000	23000
Sold goods for cash (cost ₹7000) ₹8,000 New Equation	(8,000 + 0 + (-)7,000 = 0 + 1,000(profit) 20,000 + 4,000 + 0 = 3,000 + 21,000	24000

(Note- The format of presentation may be different- Ensure whether the impact has been correctly recorded- New equation is enough- 1 mark per transaction and award marks based on impact and not on the basis of figures alone)

16.

Cash A/c	Dr	2,000		
Debtors	Dr	3,000		
Stock	Dr	5,000		
Machinery	Dr	6,000		
Building	Dr	10,000		
To Creditors			5,000	
To Bills Payable			1,000	
To Capital A/c *(bal fig)*			20,000	

Note- Correctly identifying debit and credit – 3 marks- Capital figure- 2 marks)

17. Cash Book

Date	Receipts	JF	₹	Date	Receipts	JF	₹
20xx June				20xx June			
1	To Capital		25,000	17	By Radhika		5,000
12	To Pooja		7,000	19	By Stationery		3,000
				27	By Maneesh		3,000
				27	By Balance c/d		21,000
			32,000				**32,000**
28	*To Balance b/d*		*21,000*				

(4 marks for correct posting and 1 mark for balance)

18. Trial Balance as on

Particulars	Dr (₹)	Cr. (₹)
Opening stock	xxx	
Capital		xxx
Building	xxx	

Cash at Bank	xxx	
Creditors		xxx
Debtors	xxx	
Sales		xxx
Purchase	xxx	
Discount allowed	xxx	
Rent received		xxx

(The student can use any imaginary figures- 4 marks for correctly identifying debit and credit and 1 marks for the figures)

Part C- Essay Questions. Answer any **2** questions. Each question carries **10** marks.

19. **Journal – (5 marks)**

Date	Particulars		LF	Dr. (₹)	Cr. (₹)
2024 Jan 1	Cash A/c	Dr		20,000	
	To Capital A/c				20,000
3	Bank A/c	Dr		5,000	
	To Cash A/c				5,000
7	Purchases A/c	Dr		4,000	
	To Rahul's A/c				4,000
10	Rahul's A/c	Dr		4,000	
	To Cash A/c				3,900
	To Discount A/c				100
13	Machinery A/c	Dr		2,000	
	To Cash A/c				2,000
16	Swathi's A/c	Dr		3,000	
	To Sales A/c				3,000
18	Cash A/c	Dr		1,000	
	To Swathi's A/c				1,000
20	Salaries A/c	Dr		700	
	To Cash A/c				700
23	Cash A/c	Dr		300	
	To Rent A/c				300
30	Interest A/c	Dr		200	
	To Cash A/c				200

Accounts- (3 marks)

Capital A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 30	To Balance c/d		20,000	Jan 1	By Cash		20,000
			20,000				20,000
				31	By Balance b/d		20,000

Bank A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 3	To Cash		5,000	Jan 30	By Balance c/d		5,000
			5,000				5,000
31	To Balance b/d		5,000				

Cash A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 1	To Capital		20,000	Jan 3	By Bank		5,000
18	To Swathi		1,000	10	By Rahul		3,900
23	To Rent		300	13	By Machinery		2,000
				20	By Salary		700
				30	By Interest		200
				30	By Balance c/d		9,500
			21,300				21,300
31	To Balance b/d		9,500				

Purchases A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 7	To Rahul		4,000	Jan 31	By Balance c/d		4,000
			4,000				4,000

Sales A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 31	To Balance c/d		3,000	Jan 16	By Swathi		3,000
			3,000				3,000

Rahul's A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 10	To Cash		3,900	Jan 7	By Purchases		4,000
	To Discount		100				
			4,000				4,000

Swathi's A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 16	To Sales		3,000	Jan 18	By Cash		1,000
					By Balance c/d		2,000
			3,000				3,000

Discount A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 30	To Balance c/d		100	Jan 10	By Rahul		100
			100				100
				31	By Balance b/d		100

Salary A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 20	To Cash		700	Jan 31	By Balance c/d		700
			700				700

Interest A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 30	To Cash		200	Jan 31	By Balance c/d		200

			200				200

Rent A/c

Date	Particulars	JF	₹	Date	Particulars	JF	₹
2024				2024			
Jan 31	To Balance c/d		300	Jan 23	By Cash		300
			300				300

(Not compulsory to prepare all accounts with only one transaction)

Trial Balance as on 31.01.2024 (2 marks)

Particulars	Dr (₹)	Cr. (₹)
Capital		20,000
Cash in hand	9,500	
Cash at Bank	5,000	
Salary	700	
Machinery	2,000	
Sales		3,000
Purchase	4,000	
Rent		300
Discount		100
Interest	200	
Debtors	2,000	
	23,400	**23,400**

20. **Cash Book**

Date	Receipts	JF	₹	Date	Receipts	JF	₹
20xx				20xx			
Nov				Nov			
1	To Balance b/d		30,000	3	By Purchases		3,000
11	To Capital		11,000	7	By Travel Expense		350
20	To Interest		2,300	15	By Furniture		5,000
26	To Sales		5,000	19	By Drawings		7,500
				28	By Samuel		9,000
				30	By Salaries		3,900
				30	By Balance c/d		**19,550**
			48,300				48,300
Dec1	To Balance b/d		19,550				

(Correct side posting (total 10) - 5 marks : For totalling & balancing 3 marks and 2 marks for the format)

21. **Trading and Profit & Loss Account**
for the year ended 31st March 20xx

Particulars		₹	Particulars		₹
To Opening Stock		1,20,000	By Sales	9,50,000	
To Purchase	5,50,000		Less: Return	40,000	9,10,000
Less: Return	25,000	5,25,000	By Closing Stock		1,80,000
To Carriage Inwards		28,000			
To Freight inwards		20,000			
To Wages		50,000			
To Factory Lighting		20,000			
To Factory Rent		25,000			
To Gross Profit c/d		3,02,000			
		10,90,000			**10,90,000**
To Interest on loan		25,000	By Gross Profit b/d		3,02,000
To Discount allowed		15,000	By Discount received		12,000
To Office expense		35,000	By Commission		18,000
To Salaries		90,000	By Interest on Investment		15,000
To Rent		60,000			
To Advertisement expense		30,000			
To Depreciation		20,000			
To Repairs		12,000			
To Net Profit transferred to Capital A/c		60,000			
		3,47,000			**3,47,000**

Identifying the position of each of the item correctly- (6 marks) + Calculation of GP (2 marks) + NP (2 marks)